Chapter 3 INTERNAL AUDIT

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Learning Objectives

- To understand the meaning, definition, objectives, benefits and drawbacks of internal audit.
- To identify the differences between internal check, internal control and internal audit.

POINTS TO RECALL

RECAP

In the previous lesson, we have studied meaning and importance of internal Control, advantages and disadvantages, Principles of good internal control system, kinds of Internal Control, Methods of evaluating internal control system and Difference between Internal Check and Internal Control.

3.1 Introduction

Internal auditing is an independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps an organization to accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control and governance processes.

Internal auditing is a catalyst for improving an organization's governance, risk management and management controls by providing insight and recommendations based on analysis and assessments of data and business processes with commitment to integrity and accountability.

Internal auditing provides value to governing bodies and senior management as an objective source of independent advice. The auditor's appointed to perform the internal audit activity are called as Internal auditor's.

3.2 Meaning

It is an audit conducted on a continuous basis by the employees of the organization appointed specially for this purpose, to review the operations and to offer suggestions to improve the efficiency. Audit which is conducted internally, i.e., within the organisation on behalf of the management is called as Internal Audit. The person who

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